

# KEY TERMINOLOGY

## ECONOMY



- Inflation
- FPI & FDI
- Exchange Rates
- Multinational Corporations

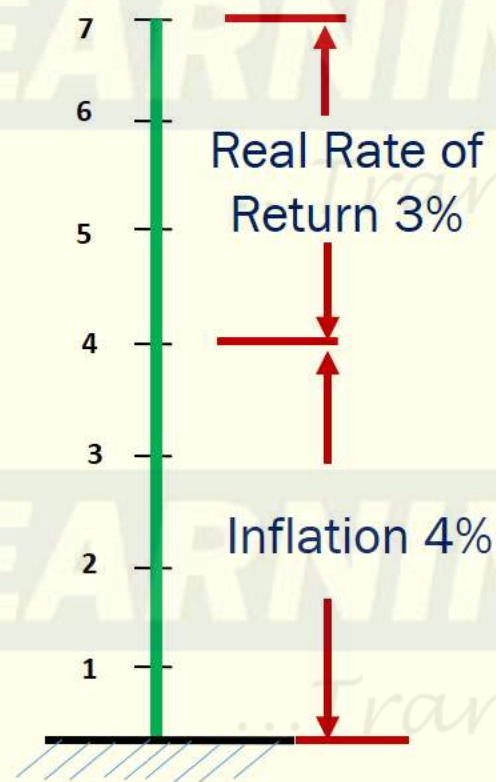
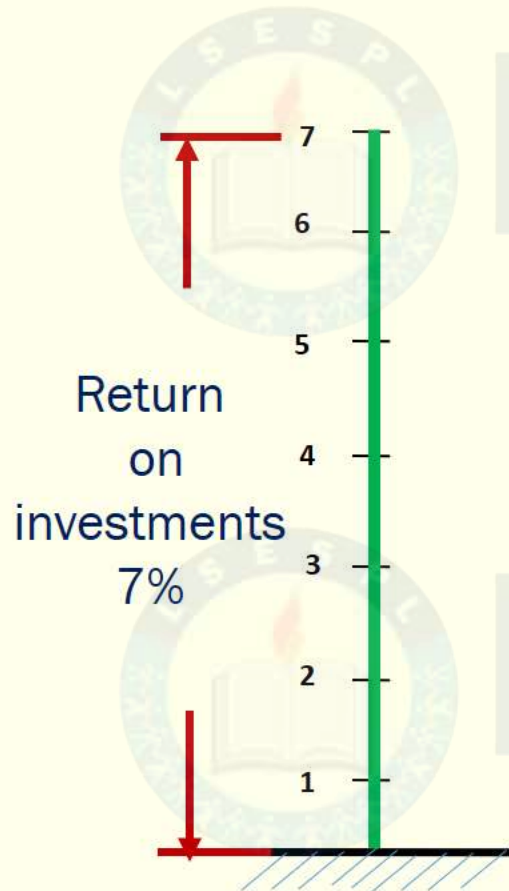
### MODULE - 6

- Appreciation & Depreciation
- Globalisation
- Liberalisation
- Privatisation



# KEY TERMINOLOGY IN ECONOMY

## WHY PEOPLE MAKE INVESTMENTS?



- To grow money
- To protect against inflation
- To prevent erosion of value of fiat currency

### FIXED DEPOSITS



State Bank of India  
THE BANKER TO EVERY INDIAN



ICICI Bank

*Bank fixed deposits protect you from inflation, with positive real rate of return*





# KEY TERMINOLOGY IN ECONOMY

## INFLATION



# LEARNING SPACE

Cost increased from Rs. 100 to Rs. 104 in 1 year

...Transforming Human Lives

1<sup>st</sup> Jan  
2016

Cost  
Rs. 100



1 year

1<sup>st</sup> Jan  
2017

Cost  
Rs. 104

Increase is Rs. 4 in  
one year

Hence,  
inflation is 4%

# KEY TERMINOLOGY IN ECONOMY

## FOREIGN PORTFOLIO INVESTMENTS (FPIs)

FPIs

U  
S  
A



E  
U



Capital Flows

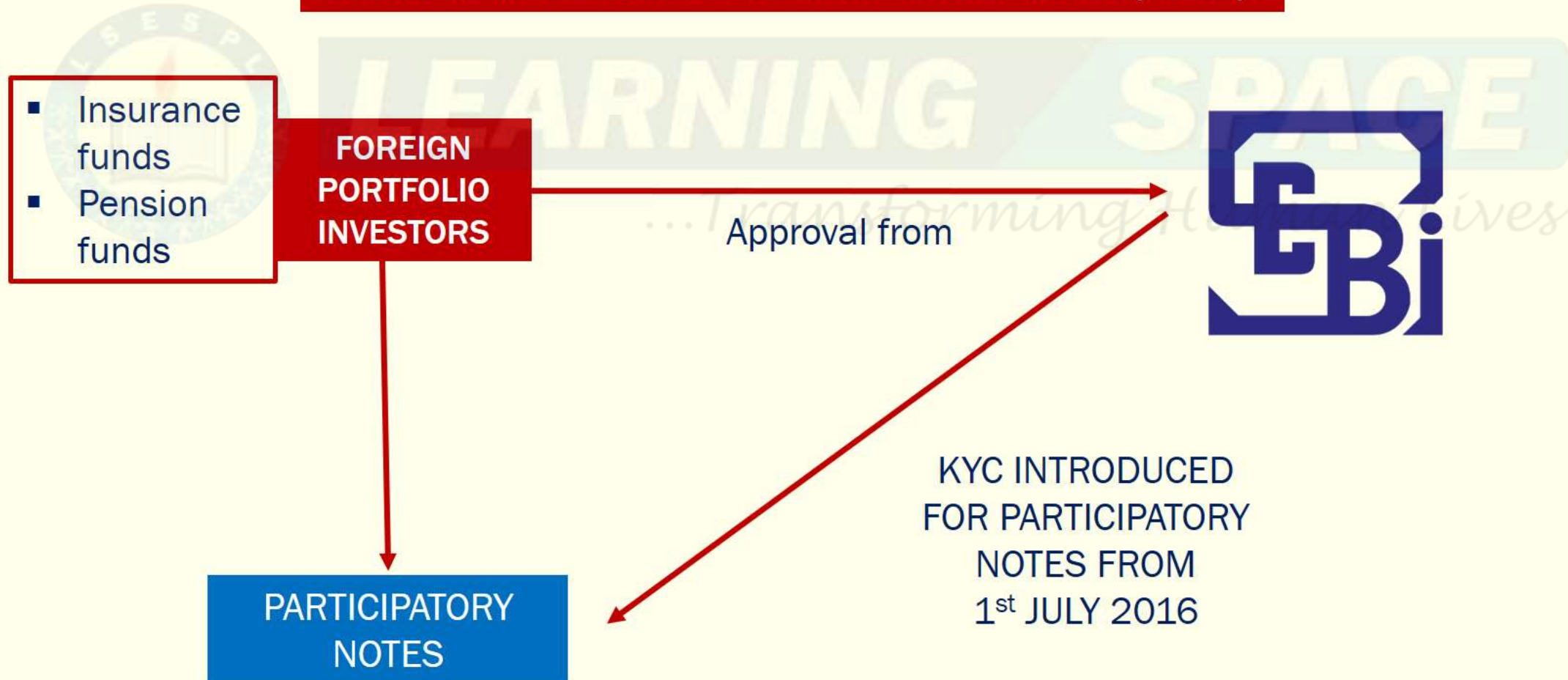
FOREIGN  
PORTFOLIO  
INVESTORS

Approval from



# KEY TERMINOLOGY IN ECONOMY

## FOREIGN PORTFOLIO INVESTMENTS (FPIs)



# KEY TERMINOLOGY IN ECONOMY

## FOREIGN PORTFOLIO INVESTMENTS (FPIs)



USA



Capital flows



- Hot money
- Passive investment
- Highly volatile / not stable
- Investments in financial assets
- Can come and go at any time
- Asset bubbles / asset crashes
- Currency appreciation / depreciation
- Developing countries are affected



# KEY TERMINOLOGY IN ECONOMY

## FOREIGN PORTFOLIO INVESTMENTS (FPIs)

### EXCESSIVE CAPITAL FLOWS



USA



EU



Capital flows

1 Asset bubbles

2 Appreciation in currencies

1



2



# KEY TERMINOLOGY IN ECONOMY

## FOREIGN PORTFOLIO INVESTMENTS (FPIs)

### CAPITAL FLIGHT



USA



EU



Capital flight

1



1

Asset crashes

2

Depreciation in currencies

2







# KEY TERMINOLOGY IN ECONOMY

## EXCHANGE RATES

## APPRECIATION & DEPRECIATION

### APPRECIATION

Rs. 40 per dollar



January  
2017



Rs. 68 per dollar



### DEPRECIATION

Rs. 100 per dollar



THIS IS BECAUSE  
OF MARKET  
FORCES



# KEY TERMINOLOGY IN ECONOMY

**EXCHANGE RATES**

**DEVALUATION & REVALUATION**

**REVALUATION**

**Rs. 40 = 1 Dollar**

**January  
2017**



**Rs. 68 = 1 Dollar**

**DEVALUATION**

**HERE, GOVERNMENT  
FIXES THE RATE**

**Rs. 100 = 1 Dollar**







# KEY TERMINOLOGY IN ECONOMY

## FOREIGN DIRECT INVESTMENTS (FDIs)



Mercedes-Benz



Japan



Korea

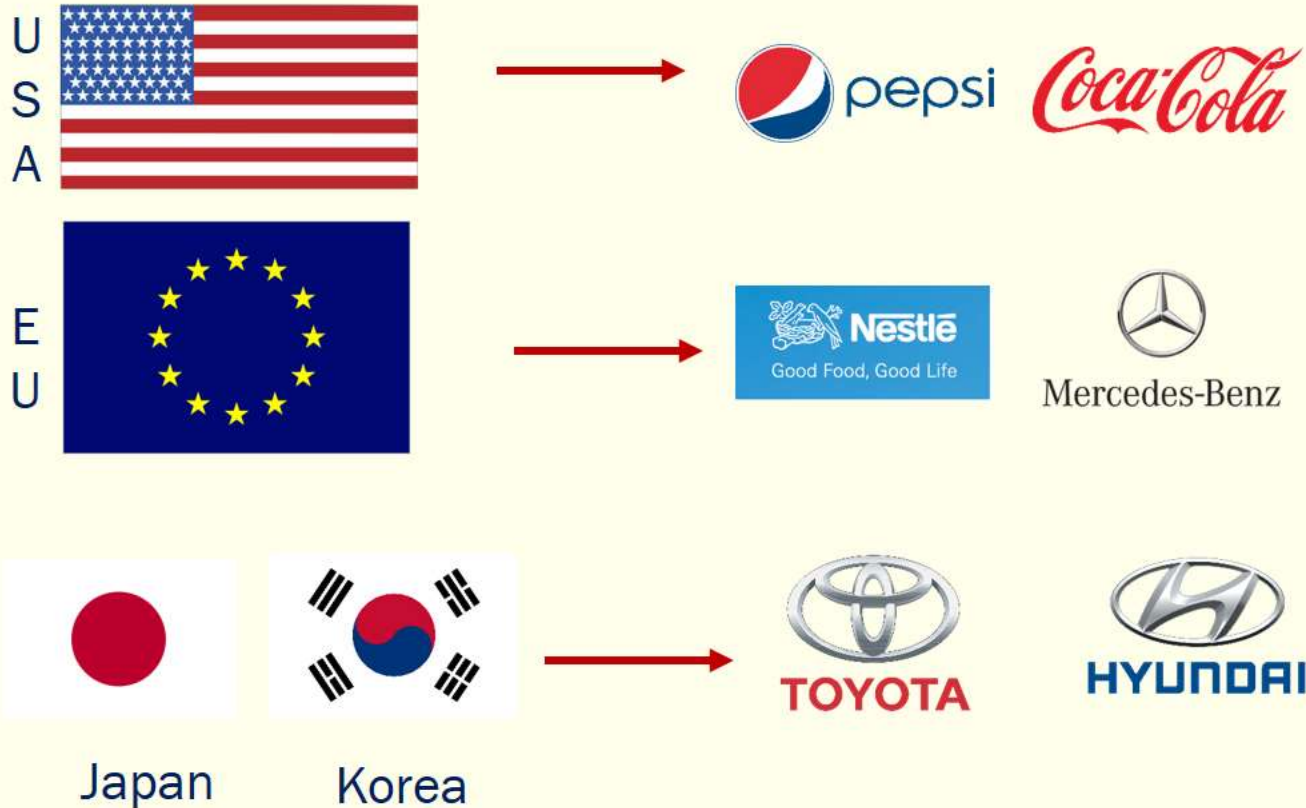


HYUNDAI



# KEY TERMINOLOGY IN ECONOMY

## FOREIGN DIRECT INVESTMENTS (FDIs)



- Stable, long term
- Stays on for longer time, not easy to exit
- Interest to establish enterprise
- Creates jobs
- Comes with modern technology
- Aids in GDP
- Invests in physical assets
- Countries with stable policy and conducive environment attracts FDI



# KEY TERMINOLOGY IN ECONOMY

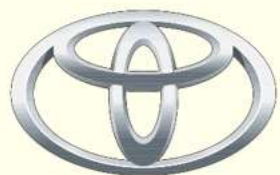
## MULTINATIONAL CORPORATIONS(MNCs)



EU



USA



TOYOTA



Mercedes-Benz



China



Japan



India



# KEY TERMINOLOGY IN ECONOMY

## MULTINATIONAL CORPORATIONS (MNCs)



1 They will have centralized headquarters in one country i.e., managed from one country.

2 They will have offices/manufacturing facilities/assets in more than one country.

3 Derives at least quarter of their revenue from operations outside their home country.







# KEY TERMINOLOGY IN ECONOMY

## GLOBALISATION



USA



EU



**BARRIER**



CHINA



INDIA



TAIWAN

# KEY TERMINOLOGY IN ECONOMY

## GLOBALISATION & LIBERALISATION



USA



EU



The process of removing this barrier is **liberalization**

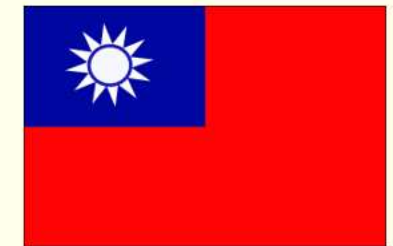
If the barrier is removed, it leads to **globalization**



CHINA



INDIA



TAIWAN



# KEY TERMINOLOGY IN ECONOMY

## GLOBALISATION



USA



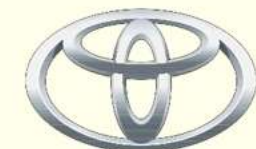
JAPAN



Korea



EU



TOYOTA



HYUNDAI



Mercedes-Benz



# KEY TERMINOLOGY IN ECONOMY



## GLOBALISATION

**Globalization** is the tendency of investment funds and businesses to move beyond domestic and national markets to other markets around the globe, thereby increasing the interconnection of the world



## PRIVATISATION

**Privatization** is the transfer of ownership of property or businesses from a government to a privately owned entity.

Reliance  
**jio**

## LIBERALISATION

In general, **liberalisation** refers to a relaxation of government restrictions, usually in such areas of social, political and economic policy. In some contexts, this process or concept is often, but not always, referred to as deregulation.



# KEY TERMINOLOGY IN ECONOMY

## GLOBALISATION





# KEY TERMINOLOGY IN ECONOMY

## LIBERALISATION

1991



In those days, BSNL did not exist, it was Department of Telecommunications, Govt. of India



2017



Reliance  
**jio**



**vodafone**



**airtel**





# KEY TERMINOLOGY IN ECONOMY

## LIBERALISATION

1991



2017

JET AIRWAYS 



air costā 

# KEY TERMINOLOGY IN ECONOMY

## LIBERALISATION

1991



2017





# KEY TERMINOLOGY IN ECONOMY

## PRIVATISATION

### PUBLIC SECTOR



### PRIVATE SECTOR

